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SECURITIES AND EXCHANGE COMMISSION
Washington, D.C. 20549

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Form 10-K

JUN 29 1989

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Annual Report Pursuant to Section 13 or 15(d) of
The Securities Exchange Act of 1934

For the fiscal year ended March 31, 1989 Commission file number 0-9864

ANNANDALE CORPORATION

(Exact name of registrant as specified in its charter)

California

95-2882527

(State or other jurisdiction of
incorporation of organization)

(I.R.S. Employer
Identification No.)

1422 West Colorado Boulevard, Pasadena, California

91105

(Address of principal executive offices)

(ZIP Code)

Registrant's telephone number,
including area code

(818) 449-6431

Securities registered pursuant to Section 12(b) of the Act: NONE

Securities registered pursuant to Section 12(g) of the Act:

Common stock, no par value

(Title of class)



Indicate by check mark whether the registrant (1) has filed all reports required to be filed by Section 13 or 15(d) of the Securities Exchange Act of 1934 during the preceding 12 months (or for such shorter period that the registrant was required to file such reports), and (2) has been subject to such filing requirements for the past 90 days.

Yes X No

Documents Incorporated by Reference

NONE

State the aggregate market value of the voting stock held by nonaffiliates of the registrant - \$715,330 as of June 22, 1989

Indicate the number of shares outstanding of each of the registrant's classes of common stock, as of June 22, 1989

Common stock, no par value

4,497,920

-PART I

Item 1. Business.

Annandale Corporation, formerly Micropin Corporation (hereinafter referred to as "Annandale" or "Company") was incorporated in 1974 under the name "EAD Incorporated". From its inception through 1982 the Company was engaged in the development, production, and marketing of electronic amusement machines.

During the year ended March 31, 1982, the Company began engaging in certain investing and business consulting services. On March 28, 1983, a special meeting of shareholders was held to change the principal business of the Company to business and financial consulting services and to change the corporate name to Annandale Corporation. Both of these items were passed and have been put into effect. The services that the employees of the Company provide include the preparation of business and financial plans and the negotiation and finding of financing through the introduction of qualified financial sources with equity securities as the primary compensation for the Company.

The Company's business, that of providing consulting services, is highly competitive and there are large numbers of consulting companies in existence.

The Company receives revenue either in cash or in securities of its clients. Revenues of the Company are based primarily on receipt of stock for business consulting and financial planning services rendered. The Company believes that receiving compensation from clients in the form of securities in their companies provides a much larger profit potential than by being paid in cash. Realizing profits from securities can take a much longer time, but management feels the time involved is more than offset by the potentially larger long-term gains. These gains are contingent upon the fact that the Company selectively chooses clients and contributes to clients' success. Revenues are brought into the books at current fair market value or a discounted value. It is the Company's intent and plan that ultimate and long-term revenues will result from sale of these securities, and from management's ability to select companies that will appreciate substantially over the years. The Company and its wholly owned subsidiary have five full-time employees.

In October 1988 the company organized a wholly owned subsidiary named Annandale Securities, a California corporation, to operate as a securities broker/dealer. The subsidiary commenced business in March of 1989 and has not had significant activities to date.

Item 2. Properties.

The Company leases its principal office in Pasadena, California. The lease expires in 1990. The Company entered into a month-to-month sublease for a portion of its office space at \$500 per month. In the opinion of management, the property is in good condition and is adequate for the Company's current and reasonably foreseeable future needs. The Company believes that its equipment is adequate for its operations and that all of such equipment is in good operating order and repair.

Item 3. Legal Proceedings.

Neither the Company nor any of its property is a party in or subject to any material pending legal proceedings and no such proceedings are known by the Company to be contemplated. No director, officer, affiliate of the Company, record or beneficial owner of more than 5% of the Company's Common Stock, or any associate of any such persons is involved in proceedings adverse to the Company and no such proceedings are known by the Company to be contemplated.

Item 4. Submission of Matters To A Vote of Security Holders.

Not applicable

ANNANDALE CORPORATION AND SUBSIDIARY

NOTES TO THE CONSOLIDATED FINANCIAL STATEMENTS

1. SUMMARY OF SIGNIFICANT ACCOUNTING POLICIES

Company history - Annandale Corporation (formerly Micropin Corporation) (the "Company") was engaged in the development of an electronic game (the "Micropin" game) from its inception in April 1974 through actual production which began during the year ended March 31, 1980. Production continued until the Company decided to terminate manufacture of the Micropin game on April 10, 1981. The Company continued to operate the Micropin games on a limited basis in various locations throughout Southern California on a revenue-split basis. Additionally, during the year ended March 31, 1982, the Company purchased and began operating various electronic video games on a revenue-split basis. During the year ended March 31, 1983, the Company discontinued all game operations and all assets relating to these activities were sold or written off.

During the year ended March 31, 1982, the Company began engaging in certain investing and business consulting activities (see note 4). In March 1983, the shareholders voted to change the name of the Company to Annandale Corporation and change the Company's operations to financial and business consulting. The accompanying consolidated financial statement include the accounts of Annandale Corporation and Annandale Securities; a wholly owned subsidiary. Intercompany transactions and balances have been eliminated in consolidation.

Property and equipment - Furniture and fixtures, computer and transportation equipment are recorded at cost. Depreciation is provided on the straight-line method over the estimated useful lives of the related assets.

Major renewals and betterments are capitalized. Maintenance and repairs are expensed as incurred. When property and equipment is retired or otherwise disposed of, the related cost and accumulated depreciation is removed from the accounts. Gains and losses from retirement or disposal is credited or charged to income.

Income taxes - Deferred taxes result from timing differences between financial reporting and tax reporting of deductions for various reserves. Investment tax credits are accounted for using the flow-through method.

Income (loss) per share - Income (loss) per share of common stock is based upon the weighted average number of shares outstanding during each period (see note 5).

Change in Presentation - The 1989 financial statements include a statement of cash flows showing cash (and cash equivalents) provided and used by operating, investing, and financial activities in place of a statement of changes in financial position showing changes in working capital as presented in prior years.

2. ADVANCES TO OFFICERS, DIRECTORS AND EMPLOYEES

Advances to officers, directors and employees represent non-interest bearing advances due on demand.

PART III

Item 9. Disagreements on Accounting and Financial Disclosures.

NONE

Item 10. Directors and Executive Officers of the Registrant

The following information as of March 31, 1989 is furnished with respect to each director and executive officer:

<u>Name of Director</u>	<u>Age</u>	<u>Year first elected as director</u>	<u>Position with Company</u>
R. Bruce Stewart	52	1974	President, Treasurer and Director
William F. Rinehart	64	1981	Secretary and Director
Thomas R. Spiel(a)	57	1974	Director
Robert C. Brooks	28	1986	Director

(a) Mr. Spiel resigned as Director effective April 15, 1989.

There are no family relationships among the directors and officers listed, and there are no arrangements or understandings pursuant to which any of them were elected as directors or officers. All officers hold office for one year or until their successors are elected and qualified. Any officer is subject to removal with or without cause, at any time, by a vote of the majority of the Board of Directors.

BUSINESS EXPERIENCE

Mr. Stewart was a business consultant to various individuals and companies from early 1972 until forming the Company in 1974. From mid-1968 to early 1972, when his corporation was sold to Systems Engineering Laboratories, Inc., he was a co-founder and Vice President of Multidata, Inc., a designer and manufacturer of small scientific computers.

Mr. Rinehart has been a practicing attorney in Los Angeles for over 30 years and is a partner in the firm of Baker & McKenzie, counsel to the Company. He is also a Director of Beverly Enterprises and Kyle Technology Corporation.

Mr. Spiel has been an owner/operator of five McDonald locations for over 17 years.

Mr. Brooks graduated from Harvard University in 1983 with a BA in Theoretical Physics. From 1983 to 1985, Mr. Brooks was an analyst in the technology group of F. Eberstadt and Co., Inc. From November 1985 to April 1986, he was a private consultant in the technology sector. In April 1986, Mr. Brooks became a full time employee of the Company. He is also a director of Chancellor Computer Corporation.

OTHER

There have been no events under any bankruptcy act, no criminal proceedings and no judgments or injunctions material to the evaluation of the ability and integrity of any director or executive officer during the past five years.

Item 11. Executive Compensation.

Mr. Stewart devotes full time to the business and operations of the Company and received compensation totaling approximately \$98,000. As a partner in Macdonald, Halsted & Laybourne (prior to merging with Baker & McKenzie), counsel of the Company, Mr. Rinehart participates in fees paid or to be paid to that firm by the Company for legal services. For the year ended March 31, 1989, the Company paid \$15,980 to Baker & McKenzie for legal services. Mr. Brooks was paid approximately \$98,000 for consulting services performed as a full time employee. During the fiscal year ended March 31, 1989, all officers and directors as a group received aggregate direct remuneration of approximately \$196,000.

The Company does not have a deferred compensation, profit sharing or retirement plan.

Options

Mr. Stewart holds incentive stock options granted under the Company's 1981 Stock Option Plan to purchase 100,000 shares of Common Stock at a price of \$.50 per share. These options are exercisable in 25% cumulative annual increments commencing January 28, 1987 and expire, to the extent not sooner exercised, on January 28, 1991. Messrs. Brooks, Rinehart and Spiel each hold non-qualified options to purchase 30,000 shares at a price of \$1.00 per share exercisable in 25% cumulative annual increments commencing February 25, 1987. These options expire on February 25, 1991, to the extent not sooner exercised. As the result of the resignation of Mr. Spiel, as a director, his options have been cancelled since they were not exercised within sixty days of his resignation. Mr. Brooks holds additional similar options to purchase 100,000 shares at a price of \$.625 per share which expire October 16, 1991, to the extent not sooner exercised. In all instances the exercise prices under the foregoing options are not less than 100% of the fair market value of the Company's Common Stock on the respective dates of grant of the options.

Item 12. Security Ownership of Certain Beneficial Owners and Management.

The following table lists the only persons known to the Company as of March 31, 1989 who own beneficially more than five percent of the Company's outstanding common stock and ownership by officers and directors individually and as a group:

<u>Name or Group</u>	<u>No. of Shares(a)</u>	<u>Percent</u>
R. Bruce Stewart	307,100	6.5%
Thomas R. Spiel	125,500	2.7
William F. Rinehart	23,500	.5
Robert C. Brooks	<u>72,500</u>	<u>1.5</u>
Officers and directors as a group	<u>528,600</u>	<u>11.2%</u>

(a) Includes all exercisable options to purchase shares as follows: Mr. Stewart - 75,000; Mr. Spiel - 22,500; Mr. Rinehart - 22,500; Mr. Brooks - 72,500; all officers and directors as a group - 192,500 shares.

Item 13. Certain Relationships and Related Transactions.

Not applicable

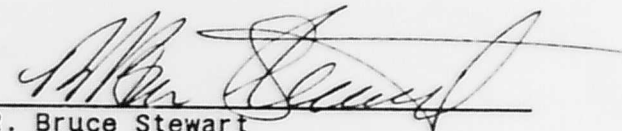
SIGNATURES

Pursuant to the requirements of Section 13 or 15 (d) of the Securities Exchange Act of 1934, the Registrant has duly caused this report to be signed on its behalf by the undersigned, thereunto duly authorized.

ANNANDALE CORPORATION

Date: 6-28-89

BY:


R. Bruce Stewart
President and Treasurer

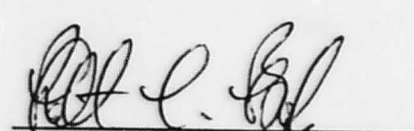
Pursuant to the requirements of the Securities Exchange act of 1934, this report signed below by the following persons on behalf of the Registrant and in the capacities and on the dates indicated.


R. Bruce Stewart

President, Treasurer and
Director (Principal
Executive Officer, Principal
Financial Officer and Principal
Accounting Officer)


William F. Rinehart

Director and Secretary


Robert C. Brooks

Director

END

ANNANDALE CORPORATION
NOTES TO FINANCIAL STATEMENTS

1. SUMMARY OF SIGNIFICANT ACCOUNTING POLICIES

Company history - Annandale Corporation (formerly Micropin Corporation) (the "Company") was engaged in the development of an electronic game (the "Micropin" game) from its inception in April 1974 through actual production which began during the year ended March 31, 1980. Production continued until the Company decided to terminate manufacture of the Micropin game on April 10, 1981. The Company continued to operate the Micropin games on a limited basis in various locations throughout Southern California on a revenue-split basis. Additionally, during the year ended March 31, 1982, the Company purchased and began operating various electronic video games on a revenue-split basis. During the year ended March 31, 1983, the Company discontinued all game operations and all assets relating to these activities were sold or written off.

During the year ended March 31, 1982, the Company began engaging in certain investing and business consulting activities (see note 4). In March 1983, the shareholders voted to change the name of the Company to Annandale Corporation and change the Company's operations to financial and business consulting.

Property and equipment - Furniture and fixtures, computer and transportation equipment are recorded at cost. Depreciation is provided on the straight-line method over the estimated useful lives of the related assets.

Major renewals and betterments are capitalized. Maintenance and repairs are expensed as incurred. When property and equipment is retired or otherwise disposed of, the related cost and accumulated depreciation is removed from the accounts. Gains and losses from retirement or disposal is credited or charged to income.

Income taxes - Deferred taxes result from timing differences between financial reporting and tax reporting of deductions for various reserves. Investment tax credits are accounted for using the flow-through method.

Income (loss) per share - Income (loss) per share of common stock is based upon the weighted average number of shares outstanding during each period (see note 5).

2. ADVANCES TO OFFICERS, DIRECTORS AND EMPLOYEES

Advances to officers, directors and employees represent non-interest bearing advances due on demand.

ANNANDALE CORPORATION

NOTES TO FINANCIAL STATEMENTS

7. COMMITMENTS AND CONTINGENCIES

Annandale Corporation leases its office space. The lease expires in 1990, however the lease provides for two 5 year options. Rent expense was \$52,698 for March 31, 1988 and \$45,156 for the years ended March 31, 1987 and 1986. Future minimum payments under all non-cancellable leases are as follows:

<u>Year Ended March 31,</u>	<u>Amount</u>
1988	\$ 22,240
1989	22,240
1990	22,240
	<u>\$ 66,720</u>

8. LITIGATION SETTLEMENT

R. Bruce Stewart, officer and director of the Company, was named as a defendant in the lawsuit Anderson et al. vs. Frederick H. Schuchardt, et al.; United States District Court, Northern District of California, Case No. C86-1743-JPB; Consolidated with Robert H. Bedrosian, et al. vs. Frederick H. Schuchardt, et al.; Case No. C86-3853-JPV. Mr. Stewart served as a director of Schuchardt Software Systems, Inc. and his contribution to the settlement has been established at \$59,206. Since Mr. Stewart served in this capacity in the normal course of business as an officer of the Company, the Company has indemnified him for his actions in this matter. Accordingly, the Company recognized an extraordinary item in the amount of \$59,206.

9. PRIVATE PLACEMENT

During the year ended March 31, 1987, the Company raised additional working capital by selling 1,000,000 units at a price of \$1.00 per unit in a private placement resulting in \$900,500 net increase in working capital. A unit consisted of one share of common stock, no par value, and one warrant to purchase one share of common stock for \$2.00.

PART III

Item 9. Disagreements on Accounting and Financial Disclosures.

NONE

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The following information as of March 31, 1988, is furnished with respect to each director and executive officer:

<u>Name of Director</u>	<u>Age</u>	<u>Year first elected as director</u>	<u>Position with Company</u>
R. Bruce Stewart	51	1974	President, Treasurer and Director
William F. Rinehart	63	1981	Secretary and Director
Thomas R. Spiel	56	1974	Director
Robert C. Brooks	27	1986	Director

There are no family relationships among the directors and officers listed, and there are no arrangements or understandings pursuant to which any of them were elected as directors or officers. All officers hold office for one year or until their successors are elected and qualified. Any officer is subject to removal with or without cause, at any time, by a vote of the majority of the Board of Directors.

BUSINESS EXPERIENCE

Mr. Stewart was a business consultant to various individuals and companies from early 1972 until forming the company in 1974. From mid-1968 to early 1972, when his corporation was sold to Systems Engineering Laboratories, Inc., he was a co-founder and Vice President of Multidata, Inc., a designer and manufacturer of small scientific computers.

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Mr. Spiel has been an owner/operator of five McDonald locations for over 17 years.

Mr. Brooks graduated from Harvard University in 1983 with a BA in Theoretical Physics. From 1983 to 1985 Mr. Brooks was an analyst in the technology group of F. Eberstadt and Co., Inc. From November 1985 to April 1986 he was a private consultant in the technology sector. In April 1986 Mr. Brooks became a full time employee of the Company. He is also a director of Franklin Telecommunications, Inc. and Chancellor Computer Corporation

OTHER

There have been no events under any bankruptcy act, no criminal proceedings and no judgments or injunctions material to the evaluation of the ability and integrity of any director or executive officer during the past five years.

Item 11. Executive Compensation.

Mr. Stewart devotes full time to the business and operations of the Company and received compensation, totaling approximately \$98,000. As a partner in Macdonald, Halsted & Laybourne (prior to merging with Baker & McKenzie), counsel of the Company, Mr. Rinehart participates in fees paid or to be paid to that firm by the Company for legal services. For the year ended March 31, 1988, the Company paid \$20,875 to Macdonald, Halsted & Laybourne for legal services. Mr. Brooks was paid approximately \$98,000 for consulting services performed as a full time employee. During the fiscal year ended March 31, 1988, all officers and directors as a group received aggregate direct remuneration of approximately \$196,000.

The Company does not have a deferred compensation, profit sharing or retirement plan.

Options

Mr. Stewart holds incentive stock options granted under the Company's 1981 Stock Option Plan to purchase 100,000 shares of Common Stock at a price of \$.50 per share. These options are exercisable in 25% cumulative annual increments commencing January 28, 1987 and expire, to the extent not sooner exercised, on January 28, 1991. Messrs. Brooks, Rinehart and Spiel each hold non-qualified options to purchase 30,000 shares at a price of \$1.00 per share exercisable in 25% cumulative annual increments commencing February 25, 1987. These options expire on February 25, 1991, to the extent not sooner exercised. Mr. Brooks holds additional similar options to purchase 100,000 shares at a price of \$.625 per share which expire October 16, 1991, to the extent not sooner exercised. In all instances the exercise prices under the foregoing options are not less than 100% of the fair market value of the Company's Common Stock on the respective dates of grant of the options.

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<u>Name or Group</u>	<u>No. of Shares(a)</u>	<u>Percent</u>
R. Bruce Stewart	282,000	6.3%
Thomas R. Spiel	118,000	2.6%
William F. Rinehart	16,000	.3%
Robert C. Brooks	56,600	1.3%
Officers and directors as a group	472,600	10.5%

(a) Includes all exercisable options to purchase shares as follows: Mr. Stewart - 50,000; Mr. Spiel - 15,000; Mr. Rinehart - 15,000; Mr. Brooks - 40,000; all officers and directors as a group - 120,000 shares.

Item 13. Certain Relationships and Related Transactions.

Not applicable

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NOTES TO FINANCIAL STATEMENTS

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(a) Includes all exercisable options to purchase shares as follows: Mr. Stewart - 50,000; Mr. Spiel - 15,000; Mr. Rinehart - 15,000; Mr. Brooks - 40,000; all officers and directors as a group - 120,000 shares.

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Not applicable